

Invoice Fraud Detection and Prevention Guidelines

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1. PURPOSE

This document provides guidelines for identifying, investigating, and escalating potentially fraudulent or suspicious invoices at Investors Ltd. Finance staff and approvers must familiarise themselves with these guidelines and apply them during invoice processing.

2. SCOPE

These guidelines apply to all invoices received from external vendors and contractors. They apply to all Finance staff, departmental approvers, and the Internal Audit team.

3. TYPES OF SUSPICIOUS INVOICE PATTERNS

3.1 Exact Duplicate Invoices

Definition: Two or more invoices from the same vendor with identical invoice number, amount, and invoice date.

Risk: Double payment to vendor. Could be accidental resubmission or deliberate fraud attempt.

Indicators:

- Same vendor name, same invoice number, same amount, same or very close invoice date

Required Action:

1. Hold both invoices immediately — do not process either
2. Contact vendor to confirm which invoice is valid
3. Cancel the duplicate in the system
4. Document the incident in the fraud log
5. If deliberate, escalate to Internal Audit

3.2 Near Duplicate Invoices

Definition: Two invoices from the same vendor with different invoice numbers but amounts within 5% of each other, submitted within 5 days of each other.

Risk: Possible double billing for the same service under different invoice numbers.

Indicators:

- Same vendor, different invoice numbers, amount difference 5% or less, submitted within 5 calendar days, similar or identical descriptions

Required Action:

1. Flag both invoices for review
2. Contact vendor to clarify if these are separate legitimate charges
3. Request supporting documentation for both
4. Do not pay either until confirmed legitimate
5. If one is a replacement, cancel the original and process the replacement only

3.3 Threshold Splitting — Invoice Splitting Fraud

Definition: A vendor submitting multiple invoices within a 30-day window, each below Rs.1,00,000, but whose combined total exceeds Rs.1,00,000.

Risk: Deliberate attempt to bypass senior approval requirements. This is a serious control violation.

Indicators:

- Same vendor, multiple invoices within 30 days, each individually below Rs.1,00,000, combined total exceeds Rs.1,00,000, similar descriptions across invoices

Required Action:

1. Treat the entire group as a single transaction
2. Escalate to senior approver regardless of individual invoice amounts
3. Request a consolidated purchase order covering the full amount
4. If splitting appears deliberate, escalate to Internal Audit immediately
5. Document all invoices in the group with their combined total

3.4 Round Amount Invoices

Definition: Invoices with amounts that are exact multiples of Rs.1,00,000.

Risk: Real costs rarely land on exact lakh amounts. May indicate estimated or fabricated billing.

1. Request full itemised breakdown from vendor
2. Verify against Purchase Order
3. Do not approve without supporting documentation

3.5 Missing Fields — Incomplete Invoices

Definition: Invoices missing one or more mandatory fields — approver, department, or description.

Risk: Incomplete invoices cannot be properly verified or audited. Missing approver field may indicate an attempt to process without proper authorisation.

1. Reject immediately and return to vendor
2. Do not enter into payment system
3. Notify the departmental approver that their vendor submitted an incomplete invoice

4. INVESTIGATION PROCEDURE

4.1 Initial Review

When a suspicious invoice is identified:

1. Place a hold on the invoice — no payment to be processed
2. Document the suspicion with specific reasons
3. Notify the Finance Manager within 24 hours

4.2 Vendor Contact

Finance must contact the vendor in writing (email) requesting clarification. All correspondence must be saved. Verbal confirmations are not acceptable — written confirmation required.

4.3 Escalation to Internal Audit

The following must be escalated to Internal Audit immediately:

- Any confirmed duplicate invoice where both were paid
- Any vendor found to be deliberately splitting invoices
- Any invoice where the approver cannot be verified
- Any invoice where vendor credentials cannot be confirmed

4.4 Documentation

All suspicious invoice incidents must be logged in the Fraud Incident Register. The log must include: invoice details, nature of suspicion, actions taken, resolution, and escalation status.

5. VENDOR FLAGS AND RISK RATING

5.1 Risky Vendor Definition

A vendor is classified as risky if they have 2 or more flagged invoices of any type, OR they have any exact duplicate, near duplicate, or threshold splitting flag.

5.2 Vendor Review Threshold

A vendor with 3 or more flags of any type across all their invoices must be referred to the Vendor Management team for a full review. Finance must not process further invoices from that vendor until the review is complete.

5.3 Vendor Suspension

The CFO may suspend a vendor pending investigation. During suspension no invoices from that vendor may be processed regardless of approval status.

6. RESPONSIBILITIES

Role	Responsibility
Finance Staff	First line detection, flagging, hold placement
Departmental Approver	Verify invoice legitimacy before forwarding
Finance Manager	Review flagged invoices, authorise escalation
Internal Audit	Investigate escalated cases, maintain fraud register
CFO	Final authority on vendor suspension and board escalation

7. POLICY VIOLATIONS

Any employee who knowingly approves a suspicious invoice, fails to report a suspected duplicate, or interferes with fraud investigation will be subject to immediate disciplinary action and potential legal proceedings.

